Expanding into the Non-GST Seller Base in India

Presented By:

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Problem Statement Redefined

Objective

Expand Meesho's Non-GST seller base, driving digitization and boosting intra-state online sales for small businesses, artisans, and resellers.

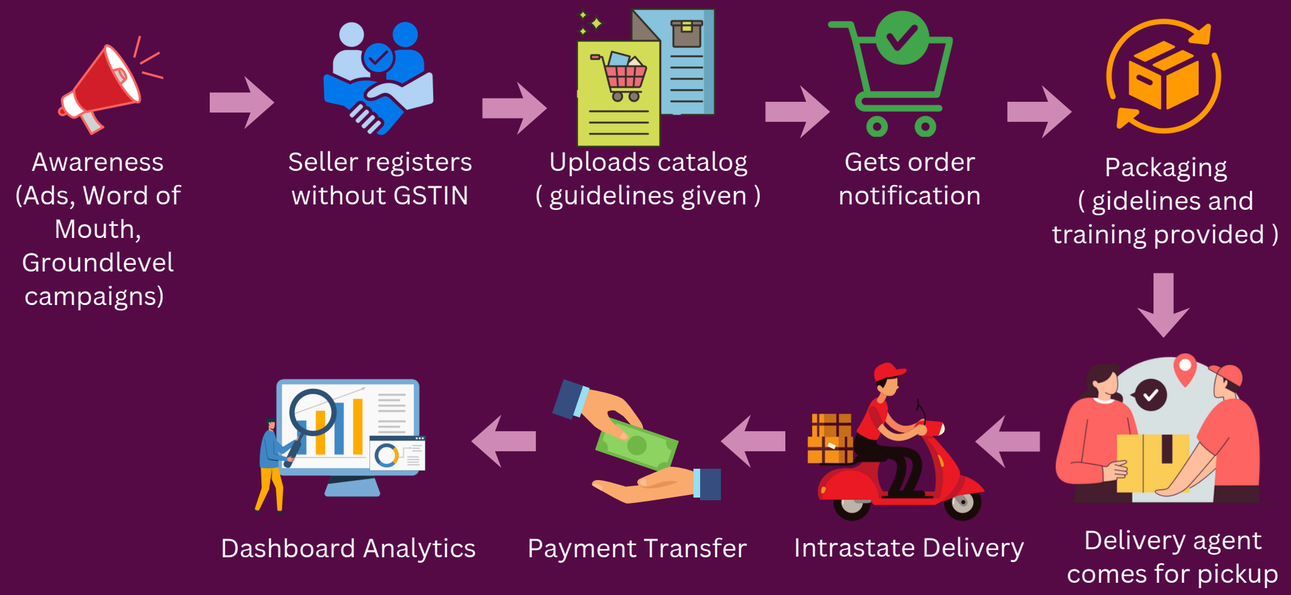
Potential Opportunity

- Unlock 60 million Non GST sellers.
- Tier-2/3 towns driving 80% of new online sellers & buyers.
- Early Meesho pilot: onboarded 25k non-GST sellers in 2 months, added 130k SKUs (80% unique).
- Potential to differentiate vs Amazon/Flipkart.
- Wider catalog → unique regional products

Challenges

- **Regulatory:** Non-GST sellers can only sell intra-state and below turnover limits (risk of tax evasion mindset).
- **Digital Literacy:** Struggle with cataloging, SEO, packaging.
- **Operational Constraints:** Limited manpower, poor fulfillment capacity, fragile/localized goods (pots, bangles).
- **Trust & Credibility:** Fear of delayed payments, lack of brand reputation, preference for offline cash trade.
- **Logistics & Reach:** First-mile pickup and handling of fragile/niche goods; cost of servicing remote areas.

Meesho Non-GST Seller User Flow



Meesho Overview

Founded: 2015 | Social Commerce Pioneer | "Meri Shop"

Vision: Democratize e-commerce by enabling anyone to start a business with zero investment, leveraging social media networks.

Customer Base

Tier-2/3 & Rural Focus

15M Resellers (70% women)

150M+ MAU

187M Annual Transacting Users

Revenue Streams

- Ads & Promotional Listings
- Value-Added Seller Tools (analytics)
- Fulfillment Fees - shared with logistics partner
- Direct Sales Margins (Marketplace Model)

Key Differentiators

- Zero-Commission Model Ultra-
- Affordable Products (₹50–₹350)
- Reseller Ecosystem
- Vernacular Support
- Rural Logistics through Value (15,000+ pincodes)
- Social Ecommerce

Pressing Issues

- InconsistentQuality Control
- High Logistics Cost
- Reseller Discontent (Direct Sales Shift)
- Heavy Ad Dependency for revenue
- Regulatory Risk
- Broad and unbranded catalog
- Rise of ONDC

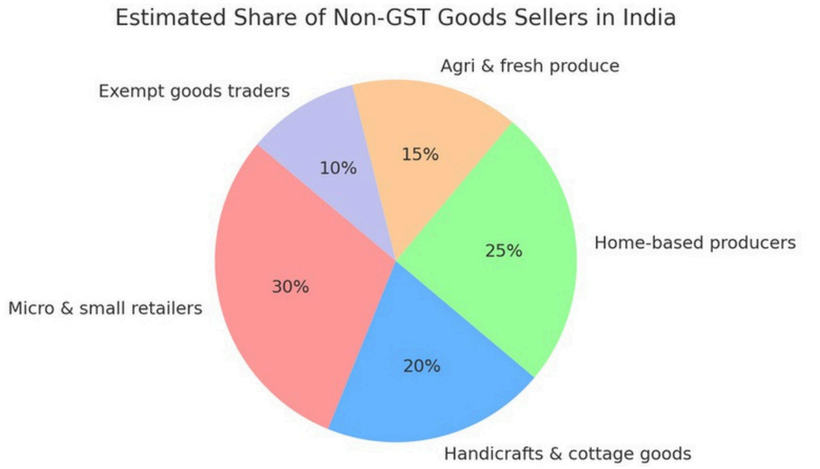
Why solve this problem?

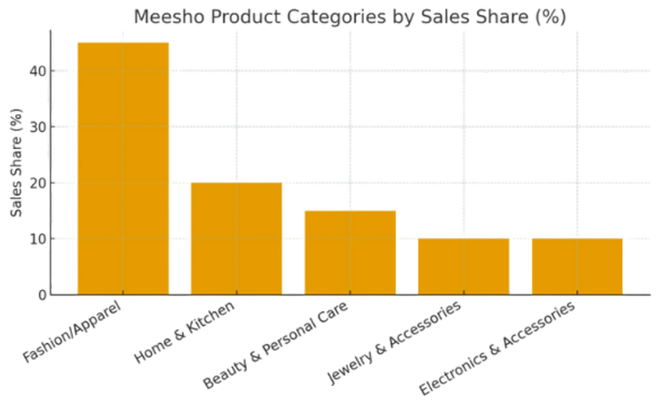
- Inclusivity → Brings millions of small & nano-entrepreneurs (most non-GST) into e-commerce.
- Market Expansion → Unlocks growth in Tier-2/3 towns where ~75% of potential sellers are non-GST.
- Competitive Advantage → Builds the widest low-entry seller ecosystem, differentiating Meesho from Amazon & Flipkart.

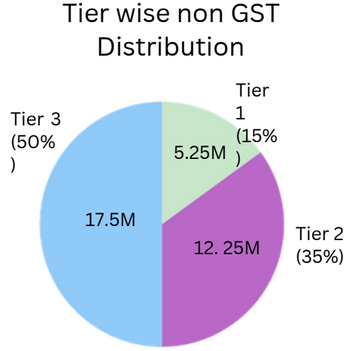
Market Sizing

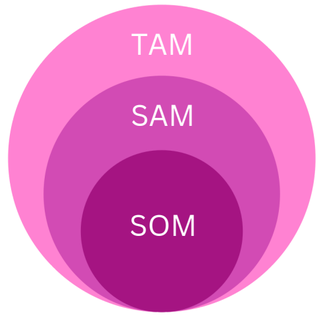
A/c to press release from ASUSE 2023-24:

7.31 Cr Total Establishments → 5.8 Cr Non-GST (64%) → 3.71 Cr Non-GST Goods Sellers (64% goods, 36% services)









2 Year Projection for 2027 (20% CAGR for Non-GST Sellers)

- **TAM – 53.3M :** All good Non-GST Sellers in India (37M)*(1.2)^2
- **SAM – 17.3M :** 50% are digitally ready & logistically reachable (53.3M × 50% = 26.65M). Meesho's first-mover advantage lets it access ~65% despite competition. (26.65M × 65% = 17.3M sellers)
- **SOM – 5.2M :** Realistic capture would be 30% of SAM.

5.2M × ₹2L GMV = ₹1.04 lakh crore

Secondary Research

Gaps in Tier 2, 3, Rural E-Commerce

- Limited last-mile delivery networks and high reverse logistics
- Digital Illiteracy
- Limited Market Access to Artisans, micro-entrepreneurs, and SHGs
- Lack of Trust & Awareness
- Platforms rarely adapt policies for small-batch sellers, local handicrafts, or hyperlocal fulfillment models.

Pain Points of Non-GST Sellers

- Regulatory Hurdles
- Limited Financing
- Trust Deficit
- Digital Onboarding Challenges
- Margin Pressures due to non-GST market competition
- Broad and Unbranded Catalog
- Limited Human Capital

Primary Research

Stakeholder's Voice

Individual	Opinion	Problem	Problem Area	Suggestions
Bamboo Artisan	I put effort into handmade bamboo products, but struggle with packaging, breakage in transit, and finding the right buyers.	• Fragile product handling during shipping • Limited access to urban/niche customers • Lack of branding/market awareness	• Serviceability • Market Reach	• Enable curated marketplaces for niche products. • Offer brand-building & storytelling modules.
Stationery Shop Retailer	I want to sell more online, but margins are thin and bulk distributors dominate, making it hard to compete.	• Low online discoverability • High platform fees reduce profit margins • Lack of digital cataloging skills	• Profitability • Discoverability • Training	• Tiered commission model for low-ticket items • Assisted catalog upload service (bulk SKUs) • Promote hyperlocal delivery partnerships
Meesho Apparel Reseller	I rely on Meesho for steady orders, but competition is high and customers keep asking for cheaper rates. Returning items due to size or quality complaints really eats into my earnings.	• High return rates due to size/quality mismatch • Price wars with similar sellers on the platform • Limited awareness for differentiation	• Profitability • Customer Retention	• Size & fit guide to cut return rates • Affordable branding tools • Smart pricing insights to manage competitiveness & profit

Primary Research Snapshot







PDF

Questionnaire Responses



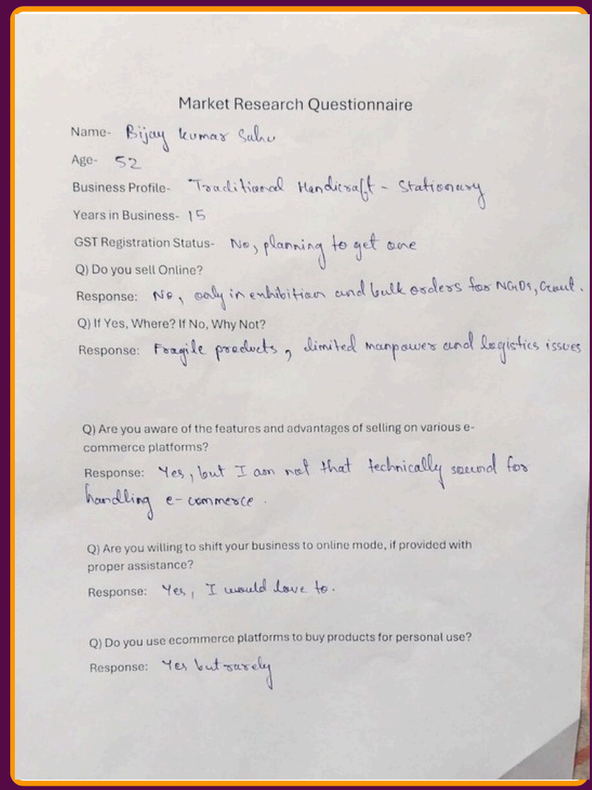






Research Insights

- Sellers consider online selling a “Tension” for them.
- Low aspirations, low technical adaptability and manpower result in low confidence among sellers.
- Local Non-GST sellers trust NGOs and Govt. more than private e-commerce platforms.
- Fragile product handling issues, return order handling, low/no branding knowledge remain the top concerns.
- Sellers suggest efficient logistics, bulk and consistent orders, human capital support would encourage them to adopt e-commerce.
- Sellers are more likely to adopt new platforms through word of mouth or local success stories.
- Very few (5-10%) have heard about Meesho.



Market Research Questionnaire

Name- Bijay kumar Sahu

Age- 52

Business Profile- Traditional Handicraft - Stationary

Years in Business- 15

GST Registration Status- No, planning to get one

Q) Do you sell Online?

Response: No, only in exhibition and bulk orders for NGOs, Govt.

Q) If Yes, Where? If No, Why Not?

Response: Fragile products, limited manpower and logistics issues

Q) Are you aware of the features and advantages of selling on various e-commerce platforms?

Response: Yes, but I am not that technically secured for handling e-commerce.

Q) Are you willing to shift your business to online mode, if provided with proper assistance?

Response: Yes, I would love to.

Q) Do you use ecommerce platforms to buy products for personal use?

Response: Yes but rarely

Seller Personas

1. Niche Producer (Artisan / Maker)



Name: Suresh Kumar
Profession: Bronze Utensil Artisan
Age: 42
Digital Maturity: Low (WhatsApp, phone calls)

Goals: Reach beyond local haats/fairs, stable income, preserve craft.

Pain Points:

- No e-commerce know-how (cataloging, SEO, packaging).
- Fragile goods → delivery challenges.
- Limited manpower, seasonal demand.
- Difficulty in reaching buyers beyond local geography.

Opportunities for Meesho:

- Provide cataloging & photography support (DIY toolkits, on-ground partner help).
- Launch “Handmade & Heritage” niche marketplace highlighting unique regional SKUs.
- Offer packaging solutions/subsidies for fragile products.
- Enable community selling via SHGs and clusters to overcome manpower limits.

2. Generic Shop Owner (Retailer / Kirana)



Name: Anita Verma
Profession: General Store Owner
Age: 38
Digital Maturity: Moderate (UPI, WhatsApp)

Goals: Sell surplus, expand product range, earn via referrals.

Pain Points:

- Limited technical skills for online selling.
- Fear of delayed or complex payments. → high risk aversion.
- Thin profit margins.
- Generic products struggle with visibility online (low differentiation).

Opportunities for Meesho:

- Simple & fast catalog upload system.
- Trustworthy and quick payout mechanism to reduce financial risk.
- Training/support for basic online sales & promotions.
- Tools to stand out despite selling generic items.

3. Online Reseller (Homepreneur / Social Seller)



Name: Priya Sharma
Profession: Homemaker & Part-time Online Reseller
Age: 29
Digital Maturity: High (social media savvy)

Goals: Side income, flexible work. Balance work with household/family responsibilities.

Pain Points:

- Unreliable sourcing of products → inconsistent quality & pricing.
- No logistics support → must manage delivery manually.
- Payment collection hassles → delayed or failed payments from customers.
- Struggles to scale beyond personal contacts.

Opportunities for Meesho:

- Provide supply chain backbone with verified products and stable pricing.
- Offer integrated logistics with doorstep delivery.
- Enable assured payments system for trust and reliability.
- Leverage referral-driven growth to convert resellers into loyal, long-term partners.

4. Niche Retailer (Specialty Shop Owner)



Name: Ritu Malhotra
Profession: Jewelry Boutique & Gift Shop Owner
Age: 35
Digital Maturity: Moderate (basic online selling exposure)

Goals: Expand customer base beyond walk-ins, source unique products reliably.

Pain Points:

- Small, irregular demand → cannot commit to large inventory.
- High dependency on local artisans → risk of supply inconsistency.
- Limited marketing reach → struggles to attract digital customers.
- Difficulty finding reliable wholesale channels.

Opportunities for Meesho:

- Build a B2B micro-marketplace connecting retailers to artisans (without direct contact exchange).
- Enable an internal wholesale ecosystem with curated product batches.
- Offer low-MOQ (Minimum Order Quantity) sourcing for niche retailers.
- Provide digital marketing boosts (spotlight features, trend-driven curation) to improve discoverability.

Competitive Benchmarking

Platform	Non-GST share	Visibility	Payment Settlement	Logistics & Delivery
Meesho	40% of new registrations; (8-18% overall)	Prioritizes small/non-GST sellers in algorithm initially.	Quick payouts (T+2/T+3 days), popular among small sellers	Affordable logistics, but fragile goods remain a gap.
GlowRoad	25-30%	Mixed – GST sellers prioritized.	Slightly slower, some reliability concerns.	Not always cost-efficient for micro-sellers.
Flipkart	<4%	Minimal.	Reliable, industry-standard cycles.	Strong supply chain, pan-India reach.
Amazon	<4%	Almost negligible.	Very reliable .	Best-in-class Fulfillment, but expensive.
Ebay India	<2%	Low domestic push.	Average reliability.	Weak local logistics, depends on third-party.
Shop101	~30%	Relatively fair visibility since GST isn't mandatory for most small sellers, but premium listings favor higher sellers.	T+7 days typically, (sellers often complain of delays).	Integrated courier tie-ups, but inconsistent coverage; fragile goods remain a gap.
Craftsvilla	~20%	Limited, only for certain categories.	Slow, often a seller complaint.	Limited; niche focus.

Overall Best Practices

The most effective platforms combine:

- **Strategic Niche Focus**: Understanding and catering to specific seller segments (e.g., small, non-GST, artisans).
- **Operational Excellence**: Providing fast, reliable, and affordable solutions for payments and logistics.
- **Fair & Accessible Visibility**: Ensuring that even small or new sellers have a chance to be discovered.
- **Strong Referral Programs:** Lowers CAC
- **Focus on Local Indian Market**: Largest market share in tier 2,3,3+ areas.
- **Onboarding Support**



Competitive Weighted Scoring acc. to Seller perspective

Criteria / Weights	Meesho	Amazon India	Flipkart	Glowroad	Kraftly	eBay India	Craftsvilla
Onboarding & Accessibility (0.25)	5	3	3.5	4.5	4	2.5	4
Cost & Revenue Model (0.20)	5	3	3.5	4	3.5	3	3.5
Trust & Seller Protection (0.20)	3.5	5	4.5	2.5	3	4	3
Market Reach (0.20)	4	5	5	3.5	2.5	2.5	3
Support Provided (0.15)	4	5	4.5	3	2.5	3	3
Weighted Score	4.35	4.1	4.15	3.58	3.18	2.98	3.35

Models to Expand and Scale Non-GST Seller Base

Model 1 - Community-led Onboarding & Cohorts (SHG-style)

Objective:
To build low-CAC, trust-driven, community-led seller cohorts inspired by SHG principles, enabling resource pooling, workforce sharing, and peer-learning for smooth onboarding of digitally hesitant sellers.

Execution Flow:



Cluster Identification
Map kirana zones, artisan hubs, and reseller hotspots.



Agent-Led Onboarding
Aadhaar/PAN KYC, app setup, vernacular training, starter kit distribution



Cohort Formation (10–30 sellers)
Form WhatsApp-based groups.
Elect **2 peer leaders** (digitally literate sellers) for each cohort.



Shared Resource Pool
Shared packaging station or supplies



Workforce Sharing
Digitally literate sellers help others with catalog uploads and order tracking.
Share human resource for order fulfillment.



Incentivized Leader and Cohort
Peer leaders and cohort members get recognition, referral bonuses, and platform perks



Referral Expansion
Individuals get sales commission of new seller onboarded.



Trust-Building Payouts
Weekly/instant payouts for first orders.



Highlight local success stories

Marketing/ Awareness Strategy

ATL Reach

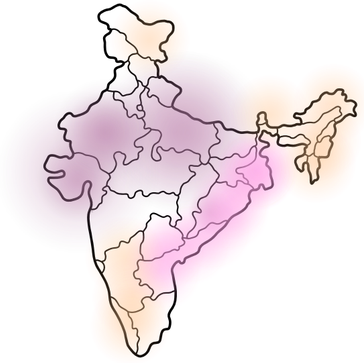
- Regional TV ads (success stories)
- Radio jingles in vernacular languages
- Local newspaper features
- Billboards in kirana-heavy markets, artisan hubs, mandis.
- Regional Influencer Tie-ups

TTL Reach

- WhatsApp/FB Ads in Vernacular
- Social media campaigns
- WhatsApp broadcast communities

BTL Reach

- Market activations (pop-up stalls, training booths)
- Cohort orientation roadshows in tier-2/3 cities
- Community posters & wall paintings in rural markets



Geographical Hotspots for Pilot Launch

Factors: Population Density, Awareness level, Unique Artisan Products, Artisan Density

- **Phase 1 (Dark Purple)**: Uttar Pradesh, Rajasthan, Gujarat
- **Phase 2 (Pink)**: Odisha, West Bengal, Tamil Nadu
- **Phase 3 (Orange)**: North-East India, Karnataka

Pilot Launch

- **Location:** 1 district with strong kirana/artisan presence (e.g., Varanasi or Odisha handicraft clusters).
- **Scale:** 300–500 sellers ~~in 20–25 cohorts~~
- **Support:** 5–8 ground agents; partnerships with local NGOs.
- **Timeline:** 3 months to validate; then replicate across 10 districts.

Benefits

- **40–50% lower CAC** via peer referrals.
- **Faster trust-building** → early payouts + peer-led guidance.
- **Improved compliance** → packaging/logistics standardized at shared hubs.
- **Community ownership** → less attrition, more organic growth.

Important KPIs

- Seller activation rate (within 30 days)
- Avg. catalog size per seller
- Average # of orders fulfilled per cohort
- Cohort MRR
- % orders with compliant packaging/logistics
- Referral-driven seller growth
- Reduction in agent/training cost per seller
- Peer leader engagement score
- Seller retention after 6 months

Models to Expand and Scale Non-GST Seller Base

Model 1 - Community-led Onboarding & Cohorts (SHG-style)

Bottlenecks and Solutions

Bottleneck	Impact	Solution
Coordination conflicts	Weak group cohesion	Rotate peer leaders every 3 months; WhatsApp-based transparent communication.
Unequal digital literacy	Some sellers left behind	1-on-1 consultancy and support if needed.
Peer leaders lacking incentive	Leaders may not help others to get info advantage	Offer cash + non-cash rewards (visibility, faster payouts) for better cohort performance and feedback.
Over-dependence on agents	High long-term costs	Gradual migration to peer-led cohorts; agents step back after 3 months. Well performing peer leader of 1 cohort can assist in nearby cohorts.
Cost of shared resources	High upfront burden	Use low-cost, DIY kits spread across cohorts.
Fear of GST/UPI	Onboarding hesitancy	Vernacular video guides, AI chatbot FAQs, step-by-step GST registration support.
Free-riders in cohorts	Frustration, misuse of resources	Clear rules for shared asset usage; access tied to participation.

Tech Requirements

- In-app Video tutorial in regional language (AI voiceover)
- Auto fill catalog templates
- WhatsApp group integration for micro cohorts
- Cohort Health Dashboard
- Instant Payout API (UPI-linked).
- AI Risk Monitoring (fraud detection, low-quality listings).

Tieups and Partnerships

1. Government Schemes & Missions

- NRLM (National Rural Livelihood Mission): Access to SHGs and women-led clusters.
- Skill India & Digital India: Training support, digital literacy drives.
- Ministry of Textiles / Handicrafts Boards: Linking artisans to digital markets.
- Startup India / MSME Schemes: Incentives for micro-entrepreneurs.

2. NGOs & Social Enterprises

- SEWA, Dastkar, Industree Foundation: Trusted grassroots partners with strong artisan networks.
- Local NGOs in Tier-2/3 cities: Act as facilitators for training and cohort management.

3. Financial & Payment Partners

- UPI/Wallet Providers (PhonePe, Paytm): Smooth instant payouts.
- Microfinance Institutions & Rural Banks: For seller credit lines, packaging loans, and working capital.

4. Logistics & Packaging Ecosystem

- Courier & Last-mile Delivery Startups: Optimized rural pickup/delivery.
- Packaging Suppliers: Starter kits at subsidized rates via partnerships.

5. Community & Educational Institutions

- SHGs, Cooperatives, Local Chambers of Commerce: Cohort formation, resource pooling.
- Universities & Polytechnics: Student volunteers for training sessions and digital handholding.

Models to Expand and Scale Non-GST Seller Base

Model 2 - Internal B2B Micro-Marketplace

Objective:
To create a protected B2B ecosystem where small producers (potters, weavers, jewelers) can wholesale their products to verified retailers/resellers, expanding demand channels while retaining Meesho as the trusted intermediary for payments, logistics, and quality assurance.

Execution Flow:



Producer Onboarding

Producers register with Meesho → provide wholesale SKU details (MOQ, bulk pricing).
Verification process ensures authenticity and quality compliance.



Trade Catalog

Wholesale SKUs listed in a "Trade Catalog" accessible only to verified resellers/retailers.
Catalog supports images, descriptions, bulk pricing, and inventory status.



Order Placement

Retailers place orders via app → in-app masked messaging ensures privacy.
Pre-order windows allow producers to manage capacity constraints.
Escrow payment system: funds released after confirmation of delivery.



Logistics & Delivery

Cluster logistics hubs enable bulk pickups from producers.
Last-mile delivery optimized via route planning and courier partnerships.



Quality & Trust Layer

"Meesho Verified" badges for consistent quality producers.
Sample order option before bulk purchasing.
Ratings and review system for producers.

Marketing/ Awareness Strategy

ATL Reach

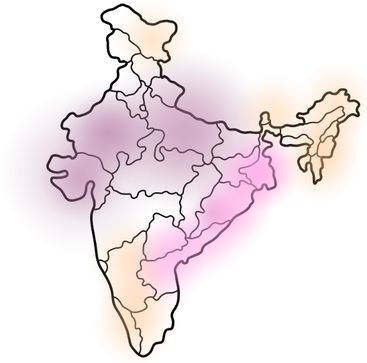
- Google Display, LinkedIn, and Facebook campaigns targeting artisans, micro-producers, and kirana retailers.
- Ads in trade magazines
- Radio & Local FM
- TV Ads

TTL Reach

- Webinars & Workshops
- Region/language-specific campaigns with interactive posts, success stories.

BTL Reach

- Field Agent Drives
- B2B fairs where retailers can sample products from producers' trade catalog
- Printed Collateral: Handbooks, posters, and flyers in local languages



Geographical Hotspots for Pilot Launch

Factors: Population Density, Awareness level, Unique Artisan Products, Artisan Density, Retailer Density

- **Phase 1 (Dark Purple)**: Uttar Pradesh, Rajasthan, Gujarat
- **Phase 2 (Pink)**: Odisha, West Bengal, Tamil Nadu
- **Phase 3 (Orange)**: North-East India, Karnataka

Pilot Launch

- **Location:** City/region with dense artisan/producer clusters (e.g., Varanasi, Sambalpur, Jaipur).
- **Scale:** 200–400 producers, 500–800 verified retailers.
- **Support:** 3–5 ground agents for initial onboarding; AI/automated tools for ongoing verification.
- **Timeline:** 3 months for pilot validation; scale to 5–10 regions after success.

Benefits

- Provides producers with new, reliable demand channels.
- Retailers gain cheaper, easier access to quality wholesale products.
- Boosts seller GMV and platform stickiness.
- Strengthens trust via verified producers, escrow payments, and quality checks.
- Scalable through cluster hubs and automation without high agent dependency.

Important KPIs

- # of producers onboarded and verified.
- # of retailers accessing the trade catalog.
- GMV generated through wholesale B2B orders.
- Order fulfillment rate and delivery timelines.
- Producer ratings and sample order uptake.
- Referral-driven adoption among retailers.
- Escrow settlement efficiency.

Models to Expand and Scale Non-GST Seller Base

Model 2 - Internal B2B Micro-Marketplace

Bottlenecks and Solutions

Bottleneck	Impact	Solution
Bypassing Meesho (direct deals)	Revenue loss, reduced control	Masked identities, strict TOS, in-app escrow payments
Wholesale logistics inefficiency	Delayed deliveries, dissatisfied retailers	Cluster-based pickups, route optimization engine, bulk courier partnerships
Producer capacity constraints	Unfulfilled orders, unhappy buyers	Pre-order windows, AI-based demand forecasting, capacity alerts
Quality consistency	Poor buyer experience, low trust	“Meesho Verified” badge,sampleorderoption,rating&review system

Tech Requirements

- **Trade Catalog Platform** – Secure listing interface with SKU, MOQ, bulk pricing, images, and inventory tracking.
- **User Verification System** – Aadhaar/PAN-based KYC for producers; retailer verification for access control.
- **Masked Messaging & Escrow** – In-app communication; automated escrow payment release post-delivery.
- **Pre-Order & Capacity Management** – Time-bound pre-order windows; AI-driven demand forecasting and alerts.
- **Logistics Hub Integration** – Cluster-based pickup scheduling; route optimization engine; courier API integration.
- **Quality & Trust Layer** – Producer ratings, “Meesho Verified” badges, sample order tracking, and review system.
- **Analytics & Dashboard** – Real-time GMV, order fulfillment, producer/retailer engagement, and referral tracking.
- **Multi-Language Support** – Vernacular interface for producers and retailers; multilingual notifications.
- **Mobile & Web Access** – Lightweight app and web interface optimized for low connectivity areas.
- **Security & Compliance** – Data encryption, secure payment processing, and adherence to GST & local trade regulations.

Tieups and Partnerships

1. Government Schemes & Missions

- MSME / Startup India: Incentives for small producers and digital B2B adoption.
- Digital India: Support for vernacular onboarding and app literacy.

2. Financial & Payment Partners

- UPI / Wallet Providers (PhonePe, Paytm): Instant escrow payouts to producers.
- Rural Banks / Microfinance Institutions: Short-term credit lines for bulk production and packaging.

3. Logistics & Packaging Ecosystem

- Courier & Last-mile Delivery Startups: Cluster-based bulk pickup and optimized routing.
- Packaging Suppliers: Affordable starter kits for wholesale orders.

4. Technology & Analytics Partners

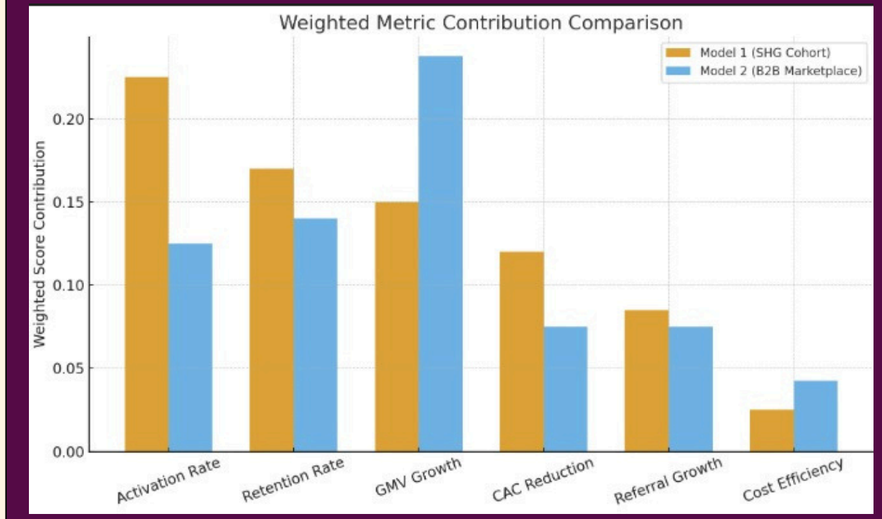
- AI / SaaS Providers: Demand forecasting, pre-order alerts, and route optimization.
- Payment Gateway Partners: Secure in-app escrow and transaction management.

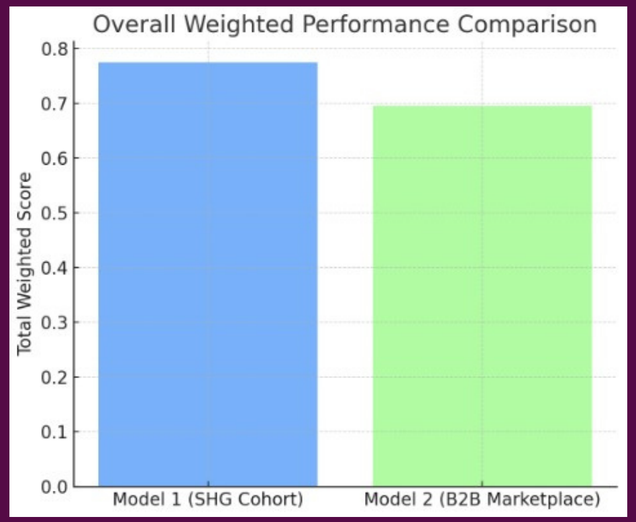
Model Analysis

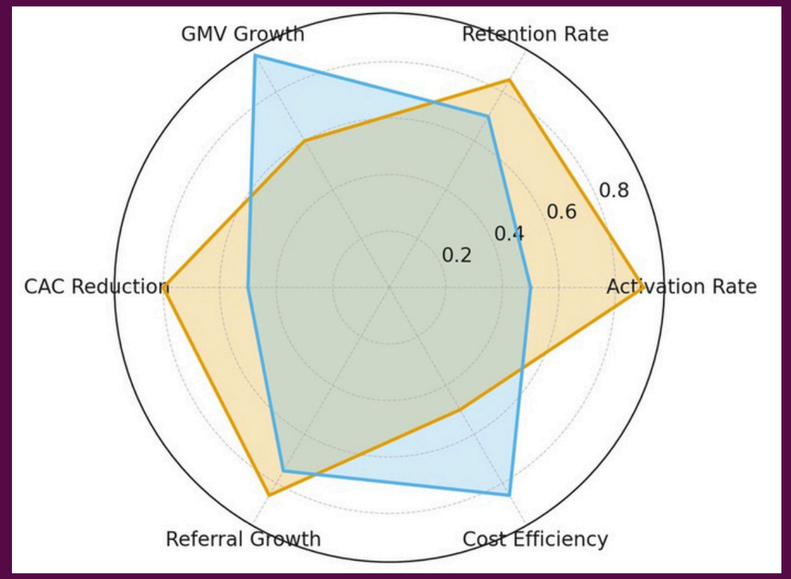
Parametric Comparison

Metric	SHG-Based Cohort (Model 1)	B2B Micro-Marketplace (Model 2)	Predicted Winner
Activation Rate	High (trust, peer training)	Moderate (requires digital literacy)	M1
CAC Reduction	40–50 % via peer referral	15-20 % via organic retailer pull	M1
GMV Growth	Moderate (small orders)	High (bulk wholesale)	M2
Retention	High (community bonding)	Moderate (business-driven)	M1
Scalability	Moderate (needs local facilitation)	High (tech-led, scalable)	M2
ROI / Cost Efficiency	High in long-term	High from start (automation)	Tie

Metric	Weight	SHG-Based Cohort (Model 1)	B2B Micro-Marketplace (Model 2)
Activation Rate	0.25	0.9	0.5
Retention Rate	0.2	0.85	0.7
GMV Growth	0.25	0.6	0.95
CAC Reduction	0.15	0.8	0.5
Referral Growth	0.1	0.85	0.75
Cost Efficiency	0.05	0.5	0.85
Total Weighted Score	1		







Insights

- Model 1 dominates in Activation Rate, Retention, Referral Growth
- Model 2 excels in GMV Growth and Cost Efficiency.
- Model 1 covers a more balanced and consistent area, indicating stronger long-term stability.

Predicted Winner: SHG-Based Cohort (Model 1)

- Reason: Slightly stronger in activation, retention, CAC reduction, and referral performance - outweighing Model 2's GMV advantage.
- Insight: Model 1 builds sustainable, community-led growth; Model 2 achieves faster short-term revenue but weaker network resilience.



Thank You